stock exchange in India. SEBI rules make it clear that if the annual trading turnover in IDRs in the preceding six calendar months before redemption is less than 5 per cent, then only the company could go into for redemption of IDRs. The regulator had said that the company issuing IDRs would have to test the frequency of trading the instrument on the bourses on a half-yearly basis ending June and December every year.

Shares 'at Par' and 'at Premium'

An ordinary share in India, in general, is said to have a ***par value (face value)*** of Rs. 10, though some shares issued earlier still carry a par value of Rs. 100. Par value implies the value at which a share is originally recorded in the balance sheet as 'equity capital' (this is the same as 'ordinary share capital'). SEBI guidelines for *public issues* by new companies established by individual promoters and entrepreneurs, require all new companies to offer their shares to the public *at par,* i.e. at Rs 10. However, a new company set up by existing companies (and of course existing companies themselves) with a track record of *at least five years* of consistent profitability are allowed to issue shares at a **premium.**

When a company issues shares at a premium, it is able to raise the required amount of capital from the public by issuing a fewer number of shares. For example, while a *new company* promoted by first time entrepreneurs intending to raise say, Rs. 1 crore, has to offer 10 lakh ordinary shares at Rs. 10 each (at par), an *existing company* may raise the same amount by offering only 2 lakh shares at Rs. 50 each (close to the market value of its shares). The latter is said to have issued its share at a '*subscription price*' of Rs. 50 (Rs. 10 in the case of the former company), at a premium of Rs. 40 (being the excess of subscription price over par value). In such a situation in India, the company's books of accounts will show Rs. 10 towards *share capital account* and Rs. 40 towards *share premium account*. It means that the higher the premium, the fewer will be the number of shares a company will have to service. For this very reason, following the policy of free pricing of issues in 1993, many companies came out with issues at prices so high that in many cases they were higher than their market prices, leading to under-subscription of such issues. The companies are, however, learning